No. 18-0918

In the Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC.,

Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

Petitioner,

v.

MILTON WEINBERG

Respondent.

ON WRIT OF CERTIORARI TO THE
SUPREME COURT OF THE UNITED STATES

BRIEF FOR THE RESPONDENT

TEAM 32R
Counsel for Respondent

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date.
2. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code.

Table of Contents

Questions Presented i

Table of Contents……ii

Table of Authorities……...…iii, iv

Statement of the Case 1

Summary of the Argument 6

Argument 8

I. LEGAL STANDARD…….…….8

II. THIS COURT SHOULD AFFIRM THE FINDINGS OF THE LOWER COURTS IN THIS CASE BECAUSE THE PLAIN LANGUAGE OF SECTION 362(A)(3) DOES NOT PROHIBIT A SECURED CREDITOR FROM PASSIVELY RETAINING ESTATE PROPERTY THAT WAS LAWFULLY REPOSSESSED PRE-PETITION……...8

A. The plain language of the Bankruptcy Code supports the findings of the lower courts in the instant case…….8

1. The portion of the statute in question is in clear, plain language which supports the findings of the lower courts…….8
2. Other provisions of the United States Bankruptcy Code support the plain language reading of Section 362(a)(3)…….11
3. If Congress had intended for § 362(a) to encompass acts committed prior to the filing of the petition, then it would have expressly included language to this effect in that section……14

B. The decisions of the Thirteenth Circuit Court of Appeals should be affirmed because the Respondent has not "commenced" or "continued" any "act" in violation of the automatic stay…….15

1. Respondent's pre-petition actions are not in violation of the stay…….15
2. The Respondent only has limited control of the vehicles, and does not exercise control over a possessory interest of the estate…….16
3. On a policy basis, affirming the decision would continue to protect both creditors and non-creditors……18

III. SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE EXPENSES ARE PERMITTED IN CHAPTER 7 BANKRUPTCY CASES……18

Conclusion ……21

Appendices……...…22-31

Table of Authorities

United States Supreme Court Cases

C.I.R. v. Engle, 464 U.S. 206 (1984) ……..……11

Conn. Nat'l Bank v. Germain, 503 U.S. 249 (1992) ……...14

Dewsnup v. Timm, 502 U.S. 410 (1992) ……15

Grogan v. Garner, 498 U.S. 279 (1991) ……18

Hartford Underwriters Ins. Co. v. Union Planters Banks, N.A., 530 U.S. 1 (2000) ……8

Landreth Timber Co. v. Landreth, 471 U.S. 681 (1985) ……...8

Mackey v. Lanier Collection Agency & Serv., Inc., 486 U.S. 825 (1988) ……....11

United States v. Ron Pair Enterprises, Inc., 489 U.S. 235 (1989) ……8

United States Circuit Court Cases

In re Al Copeland Enters., 991 F.2d 233 (5th Cir. 1993) ……...20

In re Connolly North America, LLC, 802 F.3d 810 (6th Cir. 2015) ……..19-21

In re Cowen, 849 F.3d 943 (10th Cir. 2017) ……9

In re Perkins, 902 F.2d 1254 (7th Cir. 1990) ……..12

United States v. Inslaw, Inc., 932 F.2d 1467 (D.C. Cir. 1991) ……...9, 12, 14, 17

United States v. Ledlin (In re Mark Anthony Constr., Inc.), 886 F.2d 1101 (9th Cir.1989)...20-21

District and Bankruptcy Court Cases

Starr v. Reynolds (In re Reynolds), 193 B.R. 195 (D.N.J. 1996) ……18

Beker Indus. Corp. v. Fla. Land and Water Adjudicatory Comm'n (In re Beker Indus. Corp.), 57 B.R. 611 (Bankr.S.D.N.Y.1986) ……...16

In re Hall, 502 B.R. 650 (Bankr. D.D.C. 2014) ……..……14-17

In re T.A. Brinkoetter & Sons, Inc., 467 B.R. 668 (Bankr.C.D.Ill.2012) ……...20

Pergament v. Maghazeh Family Trust (In re Maghazeh), 315 B.R. 650 (Bankr.E.D.N.Y.2004)……...……20

Statutes

11 U.S.C. § 101……..…….……...9

11 U.S.C. § 102 ……..…..19-21, 31

11 U.S.C. § 362 ……..6, 8-11, 13-18, 22

11 U.S.C. § 363 ……..6-7, 18-21

11 U.S.C. § 541 …….17, 29

11 U.S.C. § 542 ……11-13, 15, 17, 28

15 U.S.C. § 78eee(a)(3) ……....……..22

Rules

Rule and Notes of Advisory Committee on Rules—1983 …….....…….13

Secondary Sources

BLACK'S LAW DICTIONARY 27 (9th ed. 2009) ……..……...……10

BLACK'S LAW DICTIONARY 27 (9th ed. 2010) ……..……...10

OXFORD AMERICAN DESK DICTIONARY & THESAURUS (3rd ed. 2010) …….……..10

IN THE SUPREME COURT OF THE UNITED STATES

NO. 18-0918

IN RE BACKSTREETS PLOWING, INC.,
Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner,

v.

MILTON WEINBERG

Respondent.

ON WRIT OF CERTIORARI TO THE
SUPREME COURT OF THE UNITED STATES

BRIEF FOR THE RESPONDENT

OPINIONS BELOW

The decision of the United States Bankruptcy Court for the District of Moot and the Bankruptcy Appellate Panel is unreported and therefore unavailable. The United States Court of Appeals for the Thirteenth Circuit's opinion is set forth in Case No. 17-0805, and is incorporated in the record on appeal. The Supreme Court of the United States granted a writ of certiorari.

JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The relevant statutory provisions are listed below and are reproduced in the Appendices A through F, respectively.

11 U.S.C. Section 362(A)

11 U.S.C. Section 503(B)

11 U.S.C. Section 542(a)

11 U.S.C. Section 541(a)

11 U.S.C. Section 363

11 U.S.C. Section 102

STATEMENT OF THE CASE

I. Parties to the Case

The parties include Backstreets Plowing, Inc. as Debtor; Steven Vin Sant, in his official capacity as Chapter 7 Trustee for the Debtor (the "Petitioners"); and Milton Weinberg as Respondent, who was a secured creditor in the Debtor's bankruptcy proceedings.

II. Factual Background and Procedural History

The facts set forth herein are not disputed by the parties to this appeal.

In the spring of 2015, the Debtor's sole shareholder, Christopher Clemons, asked Milton Weinberg for a $450,000 loan to purchase new snow plow trucks for the Debtor's seasonal business. R. at 3-4. The new trucks would save substantial money on fuel and truck repairs as compared to the old ones. R. at 3. To secure the loan, Clemons served as personal guarantor. R. at 3. Weinberg further secured the loan by obtaining a first priority lien on the trucks[1]. R. at 4. A

[1] The Debtor granted Weinberg a purchase money security interest in the trucks, which Weinberg properly perfected under applicable non-bankruptcy law. R. at 4.

promissory note was executed in which the Debtor agreed to repay the loan via monthly payments to Weinberg beginning in December 2015. R. at 4.

In August 2015, the Debtor purchased the new trucks with the loan money from Weinberg. R. at 4. The Debtor subsequently bid for and was awarded a plowing contract with the City of Badlands, despite several city council members questioning whether the small profit margins projected by the Debtor would impede performance under the contract. R. at 4. The city contract paid a flat rate, and was renewable on a yearly basis at the sole option of the City. R. at 4-5.

In October 2015, Clemons and Weinberg stopped speaking after a passionate personal dispute over their beloved college football teams. R. at 4-5. That winter was mild, allowing the Debtor to turn a greater profit than expected due to the lack of plowing costs. R. at 5. But despite this increased profit, the Debtor failed to make the agreed upon December 2015 loan payment to Weinberg. R. at 5. The Debtor also failed to make the January 2016 and February 2016 loan payments to Weinberg. R. at 5.

By late February 2016, Weinberg had still not received any of the promised payments on the $450,000 he had loaned the Debtor, even though the Debtor had made a profit. R. at 5. Weinberg had made several calls to Clemons regarding payment, all of which had gone unanswered. R. at 5. Thus, Weinberg drove to the Debtor's facility. R. at 5. Clemons and Weinberg argued, and Clemons demanded that Weinberg immediately leave the premises, directing snow plow drivers to forcibly remove Weinberg. *Id.* Weinberg told Clemons to "lawyer up." R. at 5.

In April 2016, Weinberg sued both Debtor and Clemons in the State of Moot Circuit Court located in Asbury Park County. R. at 5. The Court rendered a default judgment against Debtor and Clemons in October 2016, who were held jointly and severally liable for the full $450,000 plus fees and interest. R. at 5.

Weinberg began to make efforts to collect on his judgment in January 2017, which was a "particularly brutal" winter. R. at 5-6. That month, Weinberg hired a repossession company to repossess the trucks under applicable non-bankruptcy law and store them in a warehouse owned by Weinberg. R. at 6. The trucks continue to be stored in this warehouse. R. at 6. The Debtor still holds title to the trucks, and there have been no foreclosure or other "similar proceedings." R. at 6.

That winter, the Debtor incurred substantial losses due to the severity of the weather. R. at 5-6. The Debtor was unable to pay costs with the small monthly contract payments the Debtor received from the City of Badlands bid. R. at 5-6. Following the repossession of the snow plow trucks, the Debtor could no longer perform under the City of Badlands contract. R. at. 6. The City of Badlands threatened to cancel its contract and sue Debtor for damages. R. at 6. The Debtor then filed a chapter 11 bankruptcy petition on February 4, 2017. R. at 6.

When the Debtor's attorneys sent Weinberg a letter demanding the immediate return of the snow plow trucks shortly thereafter, Weinberg refused. R. at 6. Weinberg understood that he had an interest to protect – the snow plow trucks – and the Debtor to have the burden of bringing a turnover action. R. at 6. The Debtor instead filed a motion in the bankruptcy court alleging that by continuing to retain the trucks, Weinberg was in violation of the automatic stay under section 362(a)(3). R. at 6. The bankruptcy court found in favor of Weinberg, "holding that mere retention of property lawfully repossessed prepetition is not an "act to . . . exercise control over property of the estate" within the scope of section 362(a)(3)." R. at 6. The Debtor timely appealed in March 2017. R. at 6.

After learning that the Badlands city council would not be renewing their snow plowing contract, the Debtor voluntarily converted the chapter 11 case to a chapter 7 bankruptcy. R. at 7.

On April 13, 2017, the Trustee was appointed to administer the Debtor's bankruptcy estate. R. at 7. The Bankruptcy Appellate Panel stayed the pending appeal in order to allow the Trustee to substitute in for the Debtor and get up to speed on the appeal. R. at 7.

In May 2017, Weinberg hired a collection law firm to pursue collection efforts on the judgment against Clemons. R. at 7. The law firm took a creditors' examination of Clemons, through which Weinberg uncovered roughly $100,000 in cash transfers made from the Debtor to a bank account held by Patti Clemons, Christopher Clemons' daughter. R. at 7. These transfers were made in May 2016, right after Weinberg filed his initial lawsuit against Clemons and the Debtor. R. at 7.

Weinberg voluntarily provided to the Trustee enough documentation and testimony in support of this discovery to show that the transfers to Patti Clemons were fraudulent transfers, and thus avoidable under sections 548 and 550. R. at 7. After a complaint was filed against Patti Clemons by the Trustee, a court-approved settlement was reached in which Patti Clemons agreed to pay $75,000 to satisfy all claims against her. R. at 7.

Seeking to recover the $25,000 he spent to discover the fraudulent transfers, Weinberg then filed a motion seeking allowance of a substantial contribution administrative expense pursuant to section 503(b). R. at 7. The Trustee agreed that a substantial contribution to the estate had been made by Weinberg, but argued that such allowances are only allowed in bankruptcy cases under chapters 9 and 11, pursuant to section 503(b)(3)(D). R. at 8. The bankruptcy court granted Weinberg a $25,000 allowed administrative expense, and the Trustee timely appealed. R. at 8.

In September 2017, one of the Debtor's competitor's, Tenth Avenue Freeze, Inc., offered to purchase the Debtor's assets – including the snow plow trucks – if the Trustee could immediately obtain possession of and convey title to the repossessed vehicles. R. at 8. The Trustee failed to

negotiate the immediate return of the trucks, so the Trustee tried to pressure Weinberg by continuing to prosecute the appeal of the ruling on the automatic stay. R. at 8.

Tenth Avenue Freeze, Inc. withdrew its offer in November 2017, but another offer was made by a different competitor just two months later. R. at 8. In January 2018, Stone Pony Plowing, LLC offered to buy the Debtor's assets for $100,000 less than the prior offer, exclusive of the snow plow trucks. R. at 8. The Trustee accepted the offer, and the sale was approved by the bankruptcy court in February 2018. R at 9.

Though he successfully sold the assets other than the vehicles, the Trustee continues to prosecute both appeals in the hopes of recovering as damages for the alleged automatic stay violation the difference between the initial purchase offer and eventual sale proceeds of the Debtor's assets other than the snow plow trucks. R. at 9.

Upon the consent of the parties, the appeal on the automatic stay holding and the appeal on the allowed administrative expense were both consolidated before the bankruptcy appellate panel. R. at 9. The bankruptcy appellate panel affirmed in favor of Weinberg on both issues. R. at 9. The Trustee timely appealed on both issues to the United States Court of Appeals for the Thirteenth Circuit, which also affirmed in favor of Weinberg on both issues. R. at 3.

The United States Court of Appeals for the Thirteenth Circuit held that same view as those of the Tenth and D.C. Circuits, finding "[o]nly affirmative acts to gain possession of, or to exercise control over, estate property violate section 362(a)(3). Refusing to immediately turn over property lawfully possessed is not the kind of post-petition "control" that violates the stay." R. at 16.

The issues now appear before this Court.

SUMMARY OF THE ARGUMENT

This Court should affirm the decisions below in favor of the Respondent because the plain language of the Bankruptcy Code does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed pre-petition; moreover, the Bankruptcy Code allows for the reimbursement of administrative expenses incurred in making a "substantial contribution" in a Chapter 7 bankruptcy. These are the two issues arising out of this case.

Specifically, the first issue asks this Court to decide if a secured creditor who lawfully repossesses property before a Debtor files for bankruptcy is in violation of the automatic stay as set forth in section 362(a)(3) of the United States Bankruptcy Code if he continues to passively retain possession of the collateral after the bankruptcy petition is filed. The Respondent contends, and all lower courts in this case so far have found, that he does not. Moreover, in keeping with the lower courts as noted *Supra*, the plain language of Section 362(a)(3) and other provisions of the Bankruptcy Code does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed pre-petition. The Respondent only has limited control of the vehicles, and does not exercise control over a possessory interest of the estate. Therefore, the Respondent's pre-petition actions are not in violation of the automatic stay. Moreover, if Congress had intended for § 362(a) to encompass acts committed prior to the filing of the petition, then it would have expressly included language to this effect in that section.

The second issue asks this Court to decide if an administrative expense may be granted to a party who makes a substantial contribution to the estate in a case under chapter 7 of the Bankruptcy Code pursuant to section 503(b). As with the first issue, all lower courts in this case have thus far found in favor of the Respondent in affirming the granting of an administrative expense. The debate has largely been an issue of rejecting administrative expenses due to

expression unius versus a totality of the circumstances approach. This case requires a combination of both approaches. Specifically, the list of allowable administrative expenses elucidated in Section 503 of the United States Bankruptcy Code is not an exhaustive list and that Congress intended to allow the reimbursement of administrative expenses not specifically enumerated therein. As a result, the Thirteenth Circuit's decision must be upheld by this Court.

ARGUMENT

I. LEGAL STANDARD

The facts herein are not in dispute. Rather, this appeal involves a question of law, and thus, this Court's review is de novo. *Pierce v. Underwood*, 487 U.S. 552, 558 (1988).

II. THIS COURT SHOULD AFFIRM THE FINDINGS OF THE LOWER COURTS IN THIS CASE BECAUSE THE PLAIN LANGUAGE OF SECTION 362(A)(3) DOES NOT PROHIBIT A SECURED CREDITOR FROM PASSIVELY RETAINING ESTATE PROPERTY THAT WAS LAWFULLY REPOSSESSED PRE-PETITION.

A. The plain language of the Bankruptcy Code supports the findings of the lower courts in the instant case.

When a court is faced with a question of statutory interpretation, the initial inquiry is always the plain the language of the statute. *Landreth Timber Co. v. Landreth,* 471 U.S. 681, 685 (1985) See also, *United States v. Ron Pair Enterprises, Inc.*, 489 U.S. 235 (1989). If the language of the statute is clear and unambiguous, the court's inquiry ends there. *Hartford Underwriters Ins. Co. v. Union Planters Banks, N.A.,* 530 U.S. 1 (2000).

1. The portion of the statute in question is in clear, plain language which supports the findings of the lower courts.

The first issue before this Court is whether 11 U.S.C. § 362(a)(3) is violated when a secured creditor passively retains possession of collateral that it lawfully repossessed from the debtor prior to the petition date. The lower courts in this case collectively found that the Respondent did not violate the automatic stay by passively retaining the vehicles he had already lawfully repossessed prior to the filing of the bankruptcy petition. The United States Court of Appeals for the Thirteenth Circuit found that absent affirmative action post-petition, passive retention of legally-repossessed property fails to meet the level of "exercise of control" necessary to violate the automatic stay. R. at 11-14.

The United States Court of Appeals for the Thirteenth Circuit described two main competing viewpoints held by different circuits ruling on automatic stay issues. One view, held by courts such as the Tenth and D.C. Circuits, contends that only affirmative actions taken after the bankruptcy petition is filed constitute violations of the automatic stay. R. at 11-14. Property of the estate that is already held by creditors is subject to turnover action initiated by the trustee. *Id.* Other courts argue that no action is necessary on the part of the trustee, but that the turnover power is self-effectuating. *Id.* at 12-14. Under this theory, creditors already in physical possession of estate property when the automatic stay goes into effect must submit the property to the trustee of their own accord or risk being in "passive violation" of the automatic stay, and potentially face sanctions. *Id.* at 12-13.

The United States Bankruptcy Code is set forth in 11 U.S.C. §§ 101 *et seq*. Section 362(a) provides for automatic stays to go into effect upon the filing of a bankruptcy petition. The challenged portion of the Code, Section 362(a)(3) describes a violation of the automatic stay as: "any ***act*** to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. §§ 362(a)(3) (emphasis added).

As the Thirteenth Circuit Court in this case found, this portion of the statute is clear in that it refers to actions taken during the bankruptcy, as in after the petition was filed. Without a specific act after the petition is filed, there is no violation of the automatic stay. *See Cowen*, 849 F.3d at 949; *Inslaw*, 932 F.2d at 1474.)

As the courts below found, mere passive possession of property repossessed prior to the filing of a bankruptcy petition does not constitute an "act" within the meaning of § 362. However, because the statute fails to specifically define an "act," there is at least some ambiguity as to

whether passive possession constitutes an act and whether failure to return previously repossessed property constitutes a violation of the automatic stay.

The word "act" is found in a legal dictionary to mean "the process of doing something or performing." R. at 11, citing BLACK'S LAW DICTIONARY 27 (9th ed. 2009). Thus, if an act is a process, then to be in violation of the automatic stay one must be actively in the process of doing something. Furthermore, the Oxford Dictionary defines the word "stay" itself means "to remain in a particular state or position," and "to stop, delay, or prevent." Synonyms include to "remain" or "wait," or "continue to be." A "stay of execution," for example, is "a delay in carrying out the orders of a court of law." OXFORD AMERICAN DESK DICTIONARY & THESAURUS (3rd ed. 2010). Black's Law Dictionary defines a "stay" as "the postponement or halting of a proceeding, judgment, or the like," and "an order to suspend all or part of a judicial proceeding or a judgment resulting from that proceeding." BLACK'S LAW DICTIONARY 27 (9th ed. 2010.)

The purpose of the automatic stay provisions of §362 of the Bankruptcy Code is to maintain the status quo at the time a petition for bankruptcy is filed. In other words, §362 is intended to freeze the positions of both debtors and creditors and prohibit any affirmative action by either party, not to impose the requirement of specific affirmative actions by the parties. This purpose is supported by the definition of "stay" - nowhere in the definition of the term is there any indication of an affirmative action, but rather a *cessation* of action. Therefore, § 362 is not a directive for action, but rather a *prohibition* of action. To interpret § 362 in a manner that would require creditors or debtors to take an affirmative action with respect to estate property would run contrary to the statute's purpose of maintaining the status quo at the time filing.

At the time the bankruptcy petition was filed in this case, the trucks had already been moved to a warehouse owned by the Respondent. Once the Respondent learned about the

bankruptcy petition, he ceased all further attempts at collecting against the Debtor, such as initiating foreclosure proceedings or seeking a judgment divesting title from the Debtor. Thus, according to the plain language of the statute and the decisions of the lower courts, no violation of the automatic stay occurred and the lower court decisions should be affirmed.

2. **Other provisions of the United States Bankruptcy Code support the plain language reading of Section 362(a)(3).**

Section 362(a) serves only to prohibit debtors and creditors from taking any affirmative actions with respect to assets and property. It does not require any action on the part of debtors and creditors. Therefore, § 362(a) must not be interpreted as a requirement that a creditor return previously repossessed property. This is especially true in light of the fact that Congress has provided, in § 542(a), for the manner in which such property is to be dealt.

When the Court is faced with a question of statutory interpretation, the Court should take care to interpret the statute in a manner that would not render its other provisions superfluous. *Mackey v. Lanier Collection Agency & Serv., Inc.*, 486 U.S. 825, 837 (1988). It is the duty of the Court to interpret statutes in a way that is in harmony with Congress's statutory scheme and expressed intent. *C.I.R. v. Engle*, 464 U.S. 206, 217 (1984). Therefore, § 362(a) should be interpreted in light of the statutory scheme of the Bankruptcy Code as a whole, including §542(a).

Section 542(a) provides that:

> "an entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title... shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate."

11 U.S.C. § 542(a).

This section describes what is commonly known as the "turnover power," in which the trustee may recover property that on the date of the petition was "out of the possession of the

debtor, yet remained 'property of the debtor'." R at 12, citing *Inslaw*, 932 F.3d at 1471. Thus, while entities that may be in possession of property of the estate shall turn such property over to the trustee, at the same time those entities that have an interest in the property of the estate may mount defenses which serve to limit the power of the trustee and protect the interests of the entity, such as by claiming that the property is of "inconsequential benefit." 11 U.S.C. § 542(a).

Section 542(a) specifically describes events during the bankruptcy case, and makes no mention of events prior to the filing of a bankruptcy petition. The fact that this section describes third parties that have possession of estate property during the case necessarily indicates the possibility that third parties in possession of estate property may exist after the automatic stay in in place.

Moreover, Section 542(a) explicitly defers to section 363, in which third parties with interests in property of the estate are provided additional protections. In section 363, the trustee is authorized to use or sell property of the estate. 11 U.S.C. § 363. However, this must be done with court approval. 11 U.S.C. § 363. Specifically, Section 363(e) provides in pertinent part:

> "Notwithstanding any other provision of [section 363], at any time, on request of an entity that has an interest in property . . . proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale or lease as is necessary to provide adequate protection of such interest."

11 U.S.C. § 363(e).

Bankruptcy Rule 7001(1) further supports the findings of the lower courts in this case. Bankruptcy Rule 7001(1) provides that "a proceeding to recover money or property, other than a proceeding to compel the debtor to deliver property to the trustee," is an adversary proceeding and is thus governed by Rule 7001. R. at 13. Turnover actions by definition fall within the scope of this Rule. R at 13, citing. *In re Perkins*, 902 F.2d 1254, 1258 (7th Cir. 1990) (citations omitted) (holding that turnover actions fall within the scope of Bankruptcy Rule 7001(1)). In 1983, the

Advisory Committee on Rules amended Rule 7001(1) to specifically include "proceedings to recover money or property." Fed. R. Bankr. P. 1983 Amend. In 1987, the Rule was again amended to state that a "trustee may proceed by motion to recover property from the debtor." *Id.*

Thus in accordance with the statutory interpretation of the Code's plain language, the turnover power of the Trustee is subject to the Court's involvement and approval pursuant to Rule 7001 and sections 542(a) and 363(e) of the Bankruptcy Code. R. at 13. It is in these sections of the Code, and not in section 362(a), that the conditions under which affirmative action is required by third parties is described.

The Thirteenth Circuit Court of Appeals in this case described this relationship between the statutory provisions as a "trade-off": once a bankruptcy petition is filed and an automatic stay goes into effect pursuant to section 362, the trustee may gain possession of estate property that is held by third parties by way of a turnover action under sections section 542(a) and Bankruptcy Rule 7001(1). "However, such turnover is subject to a condition precedent, to wit, a creditor's right to defend the turnover action and/or receive adequate protection of its interest pursuant to section 363(e)." R. at 14.

As §542(a) provides that an entity in control of property of the estate shall deliver said property to the trustee, to interpret § 362(a) as effectively requiring a creditor to return previously repossessed property - property that is part of the estate - would create a redundancy in § 362(a) and § 542(a). This Court must not interpret other provisions of the Bankruptcy Code's statutory scheme, including § 362(a), in a manner that would render § 542(a) superfluous.

3. **If Congress had intended for § 362(a) to encompass acts committed prior to the filing of the petition, then it would have expressly included language to this effect in that section.**

If Congress intended for § 362(a) to encompass acts committed prior to the filing of the petition, then it would have expressly included language to this effect. Section 362(a)(1) specifies that the automatic stay applies to "the commencement or continuation" of an "action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title." 11 U.S.C. § 362(a)(1).

The section refers only to starting or continuing actions or proceedings against a debtor once the automatic stay is in effect. Though the section does mention actions that occurred prior to the bankruptcy case, it is specifically within the context of barring the continuation of those actions. No mention is made of taking any actions to undo or rewind proceedings or actions that occurred prior to the filing of the bankruptcy petition.

No mention is made of undoing pre-petition actions in § 362(a)(3) either. The language of § 362(a)(3), which refers only to "any act to obtain possession of" or "exercise control over property of the estate." 11 U.S.C. § 362(a)(3). When read with § 362(a)(1), § 362(a)(3) refers to obtaining possession or exercising control over property of the estate once the automatic stay is in place. There is no language demonstrating, explicitly or otherwise, and intent to "require relinquishment of possession obtained prepetition." *See In re Hall,* 502 B.R. 650, 664 (Bankr. D.D.C. 2014), citing *United States v. Inslaw, Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991).

If Congress had wanted § 362 to specifically refer to acts already committed before the petition is filed, then it would have said so. The plain language of the statute reflects the intent of Congress. R. at 11, citing *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253-54 (1992) (internal

citations omitted). Moreover, § 362(a)(3) was amended in 1984, in which the phrase "or to exercise control over property of the estate" was added. Prior to the 1984 amendment, "the well-established practice was that turnover could be refused and the creditor could raise defenses to turnover before being required to relinquish possession." *See In re Hall,* 502 B.R. 650, 664 (Bankr. D.D.C. 2014), citing *Dewsnup v. Timm*, 502 U.S. 410, 419, 112 S.Ct. 773, 116 L.Ed.2d 903 (1992). To suddenly require creditors to relinquish property obtained pre-petition as an inherent part of § 362 would undermine the function of the turnover power of § 542(a) and the procedural protections that go along with it.

Additional amendments were made to § 362 in 1986, 1990, 1994, and 1998, providing Congress with ample opportunity to add language specifying an affirmative obligation for secured creditors to rewind/undo prior pre-petition actions[2]. Yet there is no evidence of a congressional intent to repeal § 542(a) or to add new pre-petition obligatory language to § 362.

Furthermore, § 362(k) imposes sanctions such as compensatory and punitive damages and the imposition of fees and costs on creditors who violate the automatic stay. 11 U.S.C. § 362(k). Therefore, it is unlikely that Congress would insert an implied obligation that was not easily discernible when the consequences of failure to abide by it were so dire.

B. The decisions of the Thirteenth Circuit Court of Appeals should be affirmed because the Respondent has not "commenced" or "continued" any "act" in violation of the automatic stay.

1. Respondent's pre-petition actions are not in violation of the stay.

The decisions of the Thirteenth Circuit Court of Appeals should be affirmed because the Respondent has not "commenced" or "continued" any "act" in violation of the automatic stay. Because the language of § 362 stays the "commencement" or "continuation" of actions or

[2] https://law.justia.com/codes/us/1999/title11/chap3/subchapiv/sec362/

proceedings against a debtor, the Respondent is not in violation of the automatic stay under § 362. 11 U.S.C. § 362. Although the Respondent did take action against the Debtor prior to the filing of the bankruptcy petition, the Respondent has not taken any affirmative post-petition action.

In this case, the actions of repeatedly attempting to contact the Debtor to collect payments owed, obtaining a judgment, and ultimately hiring a company to repossess the vehicles and store them in a warehouse all took place prior to the filing of the bankruptcy petition. Once the bankruptcy petition was filed, further attempts to collect against the Debtor were "stayed" as required by § 362, meaning foreclosure proceedings were not initiated, and title was still held by the Debtor. It is as if the Respondent froze in time, just as the automatic stay provision instructs to do.

2. The Respondent only has limited control of the vehicles, and does not exercise control over a possessory interest of the estate.

Although the Respondent repossessed the vehicles prior to the Debtor filing a bankruptcy petition, the Respondent's possession of the vehicles is limited. The Respondent has the vehicles stored in a warehouse—this constitutes physical possession only. Legal possession - and with it possessory control - is still in the hands of the Debtor, who still holds title to the vehicles.

The language "to exercise control" found in § 362 (a)(3) suggests a separate affirmative act, in part because it is language separate and additional to an act "to gain possession." *See Beker Indus. Corp. v. Fla. Land and Water Adjudicatory Comm'n (In re Beker Indus. Corp.)*, 57 B.R. 611, 626 (Bankr.S.D.N.Y.1986).

A debtor is not in actual possession of property held by a creditor and obtained pre-petition—the creditor is in possession. *See In re Hall*, 502 B.R. 650, 667 (Bankr. D.D.C. 2014). Therefore, a creditor is not exercising control over possession of a debtor's estate property by merely retaining possession of that property. *Id.* "Accordingly, possession is not an interest in

property that becomes property of the estate under 11 U.S.C. § 541(a)(1) upon the commencement of the case." *Id*.

Under § 541(a)(7), property of the estate includes any "interest in property that the estate acquires after the commencement of the case." 11 U.S.C. § 541(a)(7). Hence the necessity of the turnover power process under § 542(a), after which, if successful, possession of the previously seized property would become an interest that is property of the estate. *See In re Hall,* 502 B.R. 650, 667 (Bankr. D.D.C. 2014). Accordingly, a creditor's refusal to turnover possession of property seized pre-petition, thereby enabling the creation of a possessory interest in the bankruptcy estate, does not constitute an exercise of control over property of the estate. *See In re Hall,* 502 B.R. 650, 667 (Bankr. D.D.C. 2014), citing *See Inslaw,* 932 F.2d at 1473 (mistaken refusal to capitulate to a turnover demand is not a violation of § 362(a)(3)).

In the instant case, the Respondent was in actual physical possession of the snow plows on the date of the petition, and still has not relinquished them to the trustee pursuant to a § 542(a) turnover action. Therefore, the bankruptcy estate did not and still does not have possession of the vehicles; thus, the vehicles themselves were not and are not property of the estate.

Not only has the Respondent in this case refrained from attempting to engage in any affirmative act to exercise control over the vehicles, but in a practical sense, he lacks the ability to actually exercise any real control over them. Because the Debtor still retains legal possession of the vehicles by way of holding title, the Respondent is unable to exercise any meaningful control over them without the cooperation of the Debtor. For example, if the Respondent wanted to sell the vehicles by legitimate means, he would first have to obtain title from the Debtor. Therefore, the Respondent is not in violation of the automatic stay, and the decision of the Thirteenth in this issue should be affirmed.

3. On a policy basis, affirming the decision would continue to protect both creditors and non-creditors.

One of the primary goals of bankruptcy is to provide the honest debtor with a "fresh start" from the crippling weight of oppressive creditors. *See Starr v. Reynolds (In re Reynolds)*, 193 B.R. 195, 200 (D.N.J. 1996) (quoting *Grogan v. Garner*, 498 U.S. 279, 287 (1991)). The Bankruptcy Code accomplishes this by providing respite to debtors in the form of the automatic stay. 11 U.S.C. § 362. But in some cases, debtors may try to manipulate the Code in an effort to gain unfair advantage of creditors. Here, that is precisely the case because the Trustee is seeking a windfall at Weinberg's expense. This is not equitable nor just. To rule in favor of the trustee will cause an imbalance in protections and throw businesses, particularly creditors, out of "whack." The fact that the Debtor's sole shareholder made no payments when capable of doing so indicates that the Debtor never intended to pay, and consequently, filed bankruptcy in bad faith as a means of attempting to legally avoid paying the Respondent. Thus, from a policy perspective, ruling in favor of the Debtor would open the door for others to abuse the bankruptcy system and would go against the intended purpose of bankruptcy law.

III. SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE EXPENSES ARE PERMITTED IN CHAPTER 7 BANKRUPTCY CASES.

The second issue before this Court is whether §503(b) precludes the allowance of administrative expenses incurred by a creditor in making a "substantial contribution" in a Chapter 7 bankruptcy. Section 503(b) states, in relevant part:

> (b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, *including*--
> …
> (3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--
> …

> (D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a *substantial contribution in a case under chapter 9 or 11 of this title*;

11 U.S.C. § 503(b)(3)(D) (emphasis added).

In the litigation of this matter, the Petitioner has alleged that the language of §503(b)(3)(D) precludes Respondent, Weinberg, from the allowance of administrative expenses incurred in making a substantial contribution. The Petitioner's allegation is based on § 503's provision for the allowance of administrative expenses incurred "in making a substantial contribution in a case under Chapter 9 or 11." *Id.* The Petitioner contends that the language of § 503(b)(3)(D) limits the allowance of such expenses to bankruptcy cases under Chapter 9 and 11. However, and the courts below agree, the language of § 503(b) does not limit the allowance of expenses incurred in making a "substantial contribution" to cases under Chapter 9 or 11.

Section 503 provides a list of instances in which administrative expenses are allowed. The list, however, is not an exhaustive one. This is made particularly clear by both Congress's use of the word "including" and Congress's instruction that the words "include" and "including" are not limiting. *See* 11 U.S.C. § 102(3).

The Sixth Circuit Court of Appeals addressed this very issue in the case *In re Connolly North America, LLC*. There, Connolly North America, LLC, filed for bankruptcy under Chapter 7 in the United States Bankruptcy Court for the Eastern District of Michigan. *In re Connolly North America, LLC*, 802 F.3d 810, 813 (6th Cir. 2015). Two creditors, Mediofactoring and Coface Argentina, applied to the court for reimbursement of administrative expenses. *Id.* However, though Mediofactoring and Coface successfully argued that that had incurred administrative expenses in making a substantial contribution, the application was denied on the grounds such reimbursements

are not permitted by § 503(b) in Chapter 7 bankruptcy cases. *Id.* The decision was affirmed by the United States District Court for the Eastern District of Michigan. *Id.*

On appeal, the United States Circuit Court of Appeals for the Sixth Circuit, reversed the decision of the district court and held that reimbursement of such administrative expenses *are* allowable under § 503(b) in Chapter 7 bankruptcies. *Id.* In reaching this conclusion, the court looked to the language of the statute and relied upon established canons of construction to find that if Congress had intended to exclude the reimbursement of such administrative expenses in Chapter 7 bankruptcies, it would have done so expressly. *Id*. at 816.

The court further reasoned that, by using the term "including" in the beginning of the subsection, Congress signaled its intent that administrative expenses not explicitly listed would nonetheless be allowable under § 503 and that there is a broad consensus among courts that § 503's list of allowable administrative expenses is not an exhaustive one. *Id.* at 816 (citing *In re Al Copeland Enters.*, 991 F.2d 233, 239 (5th Cir.1993); *United States v. Ledlin (In re Mark Anthony Constr., Inc.),* 886 F.2d 1101, 1106 (9th Cir.1989); *In re T.A. Brinkoetter & Sons, Inc.,* 467 B.R. 668, 670 (Bankr.C.D.Ill.2012); *Pergament v. Maghazeh Family Trust (In re Maghazeh),* 315 B.R. 650, 654 (Bankr.E.D.N.Y.2004). The court explained that Congress's intent that § 503's list of allowable administrative expenses not be an exhaustive list is further clarified by § 102(3), which states that the words "includes" and "including" are not limiting. *Id.* at 818 (citing 11 U.S.C. § 102(3)).

Upon similar rationale, the Ninth Circuit found, in *In re Mark Anthony Const., Inc.*, that Congress did not intend § 503 to be an exhaustive list of allowable administrative expenses. *In re Mark Anthony Const., Inc.*, 886 F.2d 1101, 1106 (9th Cir. 1989) (holding interest to be an allowable administrative expense pursuant to 11 U.S.C. 503(b)). As the Sixth Circuit did in *In re*

Connolly North America, LLC, the Ninth Circuit found that Congress's use of the word "including" at the beginning of § 503, and the clarification in § 102(3) that "including" is not intended to be a limiting term, was a clear indication that Congress did not intend § 503 to be an exhaustive list of allowable administrative expenses. *Id.*

Here, the issue before this court is the same as those before the Sixth and Ninth Circuit in *In re Connolly North America, LLC* and *In re Mark Anthony Const., Inc.*, respectively. This court should find, as the Sixth and Ninth Circuit did, that the list of allowable administrative expenses elucidated in § 503 is not an exhaustive list and that Congress intended to allow the reimbursement of administrative expenses not specifically enumerated therein. Therefore, this court should find, as the Sixth Circuit did in *In re Connolly North America, LLC,* that § 503(b) authorizes the reimbursement of administrative expenses incurred in making a "substantial contribution" in a Chapter 7 bankruptcy and is not limited only to Chapter 9 and 11 bankruptcies.

CONCLUSION

For the foregoing reasons, this Court should affirm the Thirteenth Circuit's decision.

APPENDIX A

11 U.S.C. § 362(a). Automatic stay

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title [11 USCS § 301, 302, or 303], or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970 [15 USCS § 78eee(a)(3)], operates as a stay, applicable to all entities, of--

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4) any act to create, perfect, or enforce any lien against property of the estate;

(5) any act to create, perfect, or enforce against property of the debtor any lien to the extent that such lien secures a claim that arose before the commencement of the case under this title;

(6) any act to collect, assess, or recover a claim against the debtor that arose before the commencement of the case under this title;

(7) the setoff of any debt owing to the debtor that arose before the commencement of the case under this title against any claim against the debtor; and

(8) the commencement or continuation of a proceeding before the United States Tax Court concerning a tax liability of a debtor that is a corporation for a taxable period the bankruptcy court may determine or concerning the tax liability of a debtor who is an individual for a taxable period ending before the date of the order for relief under this title.

APPENDIX B

11 U.S.C. § 503(b). Allowance of administrative expenses

(b) After notice and a hearing, there shall be allowed, administrative expenses, other than claims allowed under section 502(f) of this title [11 USCS § 502(f)], including--

(1) (A) the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) any tax--

(i) incurred by the estate, whether secured or unsecured, including property taxes for which liability is in rem, in personam, or both, except a tax of a kind specified in section 507(a)(8) of this title [11 USCS § 507(a)(8)]; or

(ii) attributable to an excessive allowance of a tentative carryback adjustment that the estate received, whether the taxable year to which such adjustment relates ended before or after the commencement of the case;

(C) any fine, penalty, or reduction in credit relating to a tax of a kind specified in subparagraph (B) of this paragraph; and

(D) notwithstanding the requirements of subsection (a), a governmental unit shall not be required to file a request for the payment of an expense described in subparagraph (B) or (C), as a condition of its being an allowed administrative expense;

(2) compensation and reimbursement awarded under section 330(a) of this title [11 USCS § 330(a)];

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under section 303 of this title [11 USCS § 303];

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title [11 USCS § 1102], in making a substantial contribution in a case under chapter 9 or 11 of this title [11 USCS §§ 901 et seq. or 1101 et seq.];

(E) a custodian superseded under section 543 of this title [11 USCS § 543], and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title [11 USCS §

1102], if such expenses are incurred in the performance of the duties of such committee;

(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;

(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title [11 USCS §§ 901 et seq.; 1101 et seq.], based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;

(6) the fees and mileage payable under chapter 119 of title 28 [28 USCS §§ 1821 et seq.];

(7) with respect to a nonresidential real property lease previously assumed under section 365 [11 USCS § 365], and subsequently rejected, a sum equal to all monetary obligations due, excluding those arising from or relating to a failure to operate or a penalty provision, for the period of 2 years following the later of the rejection date or the date of actual turnover of the premises, without reduction or setoff for any reason whatsoever except for sums actually received or to be received from an entity other than the debtor, and the claim for remaining sums due for the balance of the term of the lease shall be a claim under section 502(b)(6) [11 USCS §

502(b)(6)];

(8) the actual, necessary costs and expenses of closing a health care business incurred by a trustee or by a Federal agency (as defined in section 551(1) of title 5 [5 USCS § 551(1)]) or a department or agency of a State or political subdivision thereof, including any cost or expense incurred--

(A) in disposing of patient records in accordance with section 351 [11 USCS § 351]; or

(B) in connection with transferring patients from the health care business that is in the process of being closed to another health care business; and

(9) the value of any goods received by the debtor within 20 days before the date of commencement of a case under this title in which the goods have been sold to the debtor in the ordinary course of such debtor's business.

APPENDIX C

11 U.S.C. § 542(a). Turnover of property to the estate

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title [11 USCS § 363], or that the debtor may exempt under section 522 of this title [11 USCS § 522], shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

APPENDIX D

11 U.S.C. Section 541(a). Property of the estate

(a) The commencement of a case under section 301, 302, or 303 of this title [11 USCS § 301, 302, or 303] creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2) All interests of the debtor and the debtor's spouse in community property as of the commencement of the case that is--

(A) under the sole, equal, or joint management and control of the debtor; or

(B) liable for an allowable claim against the debtor, or for both an allowable claim against the debtor and an allowable claim against the debtor's spouse, to the extent that such interest is so liable.

(3) Any interest in property that the trustee recovers under section 329(b), 363(n), 543, 550, 553, or 723 of this title [11 USCS § 329(b), 363(n), 543, 550, 553, or 723].

(4) Any interest in property preserved for the benefit of or ordered transferred to the estate under section 510(c) or 551 of this title [11 USCS § 510(c) or 551].

(5) Any interest in property that would have been property of the estate if such interest had been an interest of the debtor on the date of the filing of the petition, and that the debtor acquires or becomes entitled to acquire within 180 days after such date--

(A) by bequest, devise, or inheritance;

(B) as a result of a property settlement agreement with the debtor's spouse, or of an interlocutory or final divorce decree; or

(C) as a beneficiary of a life insurance policy or of a death benefit plan.

(6) Proceeds, product, offspring, rents, or profits of or from property of the estate, except such as are earnings from services performed by an individual debtor after the commencement of the case.

(7) Any interest in property that the estate acquires after the commencement of the case.

APPENDIX E

11 U.S.C. § 363 (e). Use, sale, or lease of property

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362 [11 USCS § 362]).

APPENDIX F

11 U.S.C. § 102. Rules of construction

In this title--

(1) "after notice and a hearing", or a similar phrase--

(A) means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but

(B) authorizes an act without an actual hearing if such notice is given properly and if--

(i) such a hearing is not requested timely by a party in interest; or

(ii) there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(2) "claim against the debtor" includes claim against property of the debtor;

(3) "includes" and "including" are not limiting;

(4) "may not" is prohibitive, and not permissive;

(5) "or" is not exclusive;

(6) "order for relief" means entry of an order for relief;

(7) the singular includes the plural;

(8) a definition, contained in a section of this title that refers to another section of this title, does not, for the purpose of such reference, affect the meaning of a term used in such other section; and

(9) "United States trustee" includes a designee of the United States trustee.